

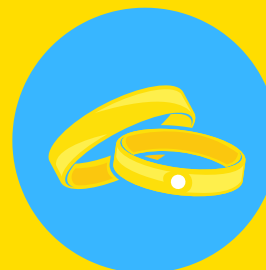
LIABILITIES



Liability insurances refer to the protection against the risks that some unforeseen liability might present to us. So, with insurance, we intend to shift the risk of an unforeseen liability to the insurer and with the appearance of an unforeseen liability, the insurer will meet the liability on our behalf. A significant liability coming up can derail our financial plan.

For example, if we own a factory that sets on fire one day due to which a workmen liability arises suddenly. Or, your company is accused of Intellectual Property (IP) infringement and liability has arisen. So, we seek insurance to keep ourselves protected against such risks. The list of possible risks will be created based on the profession and the kind of liabilities people from similar fields of work have faced in the past. We understand that it is not possible to create an exhaustive list of all risks or liabilities that we face.

ASSETS



We own a house, what could go wrong with it? It can catch fire or an earthquake can damage it and so on. Practically anything can go wrong with the asset and it is undoubtedly a risk. Next, let us say, jewellery. What can go wrong? The jewellery might get stolen. Similarly, we have to create a list of risks for all the assets that we could face and make the list as exhaustive as possible. We will use a system going further that will evaluate which risks need to be insured and which ones can be ignored.

One common mistake is to include market-related risks in this list. For instance, in the case of jewellery, the market price of gold may go down. We cannot ensure such risks that are market-related, or related to our skills, risks built-in asset classes and so on. We can only ensure risks that are a potential threat to the asset or completely exhaust the asset.